

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

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Latitude Inc.



Innovative Business Support & Promotion

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1 Quarantine Statistics of Deer Velvet from Major Export countries

These include hand-carried velvet by tourists. The countries are not country of origin but export.

Source: National Veterinary Research & Quarantine Service (한국수의과학검역원)¹.

1.1 Dried velvet

Dried velvet (kg)				
Country	2013	2014	2015	2016 (~June)
New Zealand	24,152	14,293	15,803	18,174
China	54,942	78,296	60,794	40,360
Russia	43,140	34,369	44,523	4,370
Hong Kong	11,322	20,976	14,499	10,852
Singapore		2,240		1
Kazakhstan	1,786	1,985	2,035	
Australia	56	54	25	7.5
USA	20	29	10	6.1
Others	16	17	7	3.8
Total	135,434	152,264	137,699	73,774

1.2 Frozen velvet

Frozen velvet (kg)				
Country	2013	2014	2015	2016 (~ June)
New Zealand	74,725	74,298	74,025	54,508
China	10.3	5.2	7.8	14
Russia	1.3			
Australia	6.2	16.6	31.1	16
USA	0.1	0.8	1.3	0.1
Japan		2.6		
Canada		0.4	1.3	
Thailand	23.0			
Vietnam			0.5	
Total	74,767	74,324	74,067	54,538

1.3 Rolling year

Dried velvet (kg)			Frozen velvet (kg)		
Country	July 2014 – June 2015	July 2015 – June 2016	Country	July 2014 – June 2015	July 2015 – June 2016
New Zealand	13,104	25,331	New Zealand	84,468	82,032
China	65,429	73,888	China	7.3	16.8
Russia	34,251	46,981	Russia		
Hong Kong	16,911	17,793	Hong Kong		

¹ http://eminwon.qia.go.kr/statistics/statistics_No9.jsp

Singapore			Singapore		
Kazakhstan	1,986	2,035	Kazakhstan		
Australia	46	16	Australia	23.6	33.8
USA	22.4	11	USA	0.8	1.4
Others	18.2	8.6	Others	3.2	0.4
Total	137,767	166,062	Total	84,503	82,084

1.4 Quarantine Fail

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

Source: National Veterinary Research & Quarantine Service (한국수의과학검역원)².

COQ = Certificate of Quarantine (Phytosanitary Certification)

Sanitary = Sanitary condition violation

1.4.1 Fail - Dried velvet

Dried velvet (kg)					
Country	2013		2014		
	No COQ	Banned Origin	No COQ	Banned Origin	Drying defect
New Zealand	2.8		8.3		
China	790.0	2.2	129.6	46.2	1.4
USA	1.3	17.8		29.7	
Canada		5.4		4.8	
Japan		0.4		1.2	
Russia					
Others		11.4			
Total	831.2		221.2		

Dried velvet (kg)			
Country	2015		
	No COQ	Banned Origin	Drying defect
New Zealand		0.1	
China	60.4		
USA		10.6	
Canada		4.8	
Japan		0.2	
Russia	0.5		1.6
Others		2.0	
Total	80.2		

² http://eminwon.qia.go.kr/statistics/statistics_No4.jsp

1.4.2 Fail - Frozen velvet

Frozen velvet (kg)					
Country	2013		2014		
	No COQ	Banned Origin	No COQ	Banned Origin	Hygiene issue
New Zealand					1,600
China		10.3	1.2	4	
USA		0.1		0.8	
Canada				0.4	
Japan		1.5		2.6	
Russia		1.3			
Thailand		23.0			
Total	36.1		1,608.8		

Frozen velvet (kg)		
Country	2015	
	No COQ	Banned Origin
New Zealand		
China		7.8
USA		1.3
Canada		1.3
Japan		
Russia	1.2	0.5
Total	12.1	

2 COO System – traditional : Import records

Shipping	Exporter	Importer	weight (kg)	Port	AWB/BL no.	Stickers	Sticker issued
2015-03-29	Alpine deer group Ltd (NZ)	Siwon Pharmaceutical Co, LTD	1,500	Incheon	18054845140	5,670	2016-01-05
2015-10-29	CKNZ	KNC Deer Trade Co, LTD	2,000	Incheon	18089139466	7,560	2016-01-05
2015-11-05	J&A deer limited(NZ)	KNC Deer Trade Co, LTD	2,000	Incheon	18089139595	7,560	2016-01-05
2015-12-05	Alpine Deer NZ DP (NZ)	Siwon Pharmaceutical Co, LTD	2,000	Incheon	18089143316	7,560	2016-03-08
2015-12-11	CK Import Export Co NZ	KNC Deer Trade Co, LTD	5,000	Busan	NYKS4010762870	18,900	2016-03-09
2015-12-17	YIK LUNG TONG NZ Int'l Limited	KNC Deer Trade Co, LTD	2,012	Incheon	18089143412	7,603	2016-03-09
2016-01-29	CK Import Export Co NZ LTD	KNC Deer Trade Co, LTD	5,000	Busan	NYKS4010757720	18,900	2016-04-20
2016-03-18	CK Import Export Co NZ LTD	KNC Deer Trade Co, LTD	7,000	Busan	NYKS4010782820	26,460	2016-06-03
2016-01-17	Alpine Deer NZ DP (NZ)	Siwon Pharmaceutical Co, LTD	2,000	Incheon	18089143515	7,560	2016-06-14
2016-05-08	CK Import Export Co NZ LTD	KNC Deer Trade Co, LTD	2,244	Incheon	18093984612	8,483	2016-07-13
2016-05-13	ROKLAND CORPORATION LTD	KNC Deer Trade Co, LTD	3,236	Busan/Incheon	CH2198674	12,230	2016-07-13
		Siwon Pharmaceutical Co, LTD	5,500			20,790	
		KNC Deer Trade Co, LTD	28,491			107,696	
		Total	33,991		Total	128,486	

Note : According to KNC, they are only dealing and contracting with Parex and CK or others only for the shipping company (actual stocks sources).

3 Korean News

3.1 KDBA Chairman Replacement

Mr. SEO Jong-gu (서종구) has been elected as the 20th chairman of the KDBA. The person he is replacing is Mr. CHUNG Yu-hwan (정유환) who has acted as chairman for the past four years.



Deer News (weekly, No online), 2016-04-01

3.2 Opinions about CWD

KDBA have gathered and summarized all opinion from relevant industry bodies about CWD:

- Ministry of agriculture food and rural affairs – CWD cannot be transmitted from deer to humans.
- AKOM – People should avoid eating domestic velvet because of CWD.
- Korean Medical Association KMA – all velvet that was made by AKOM needs to be checked for safety.
- Deer farmers – Unhappy that domestic product is being disparaged, especially by the media.

Deer News (weekly, No online), 2016-04-01

3.3 Deer industry relief with regards to CWD?

The deer industry feels relief as deer prices and circulation is revived – it seems that CWD is no longer spreading and has dealt with well.

Deer News (weekly, No online), 2016-05-03

3.4 Do (OM doctors) want profits from cheap imported deer?

AKOM have taken the position that in domestic velvet there is residue from a local anesthetic that is administered to local deer.

KDBA have stated that this is the case for all velvet including velvet from developed countries like New Zealand.

Deer News (weekly, No online), 2016-05-03

3.5 Misperceptions and misunderstandings surrounding CWD – from the position of KDBA

This article is a piece from KDBA and their thoughts around CWDA – one interesting piece of information from this article is that only 10% of deer farmers are members of KDBA.

[2,816 deer farms in Korea which means 281 members of KDBA]
[% of deer numbers included under the KDBA not stated]

Deer News (weekly, No online), 2016-05-03

3.6 KDBA's labelling system

KDBA have developed a labeling system allowing people to check the origin and manufacturing details of sliced/whole frozen domestic velvet. The cost of the labels is 700 Korean Won each.

Deer News (weekly, No online), 2016-05-03



3.7 A country of origin checking system is required for green velvet.

The Chairman of KDBA request [NAQS](#) (National Agricultural Products Quality Management Service) to develop country of origin checking system for green velvet.

- Development of country of origin checking system - current status
 - Dried Velvet: NIRS (near infrared spectroscopy) : locally developed in 2011
 - Beef:
 - Genetic analysis technology for checking country of origin (Korean beef “Hanwoo” or Non Korean beef) : Locally developed in 2011
 - Meat product DNA testing: Beef (Since 2009), Pork (Since 2015)
- Development of country of origin checking system – statistics

Year	Beef (Korean beef or Not)		Beef (DNA testing)		Dried velvet (origin)	
	Test	Not	Test	Not match	Test	Imported
2013	3,244	113 (3.5%)	3,165	594 (18.8%)	13	0
2014	2,866	116 (4.0%)	3,062	472 (15.4%)	3	0
2015	2,156	164 (6.5%)	3,580	458 (12.8%)	0	0
2016.4	417	81 (19.4%)	480	89 (18.5%)	0	0

02 The Korea Deer Times 종합

“생녹용의 원산지 판별법 개발 시급하다”

서종구 회장, 축산물 유통질서 확립 협약식에서 요청

원)과 축산관련단체협의회와의 축산물 유통질서 확립을 위한 업무 협약식에 참석해 생녹용에 대한 원산지 판별법의 개발을 농관원에 요청했다. (이래 박스 기사 참조)

현재 농관원은 지난 2011년 자체 개발한 이화학 분석기술(하단 박스기사 참조)로 건조 녹용에 한하여 원산지를 판별하고 있다.

이날 서종구 회장은 모두발언을 통해 “국내 양육업체의 특성상 건조녹용보다는 생녹용의 유통 비중이 매우 높다. 국내 녹용 소비량의 80%를 수입산에 의존하고 있는 가운데에서 수입산 녹용의 국내산 불법유통이 양육농가를 위기로 몰고 있다”며 “생녹용에 대한 원산지 판별법 개발이 매우 시급하다”고 설명했다.

이에 대해 농관원 측은 “국내 양육업체의 현실을 감안하여 과학적인 방법의 생녹용 원산지 판별법을 개발하도록 힘쓰겠다”고 밝혔다.

5월 무더위가 기승을 부리고 있는 가운데 녹용의 생산성과 품질에 비상이 걸렸다.

5월 중순을 지나면서 한낮의 온도가 25~26도를 넘어섰고 급기야 30도에 육박하고 있어 녹용 성장기에 접어들어 사슴들의 관리에 각별히 신경을 써야 한다는 것이다.

녹용의 성장과 일조량 및 온도는 서로 상관관계를 맺고 있다. 이른 무더위는 녹용의 생산성과 품질 향상에 결코 도움이 되지 않는다는 것이 업계 관계자들의 설명이다.

업계 관계자들은 “온도가 급격히 오르면 사슴들에게서 나타나는 대표적인 증상이 사료섭취와 탈

“생녹용의 원산지 판별법에 대한 개발도 시급합니다” (사)한국사슴협회 서종구 회장은 지난 4월20일 국립농산물품질관리원(이하 농관

■ 원산지 판별법 개발 현황

- 건조녹용 : 이화학 분석기술(NIRS) : 2011년 자체 개발
- 쇠고기 : 유전자 분석 기술, 원산지 판별(한우/비한우) : 2011년 자체 개발
- 축산물 DNA 동일성검사 : 쇠고기('09년 시행), 돼지고기('15년 시행)

■ 원산지 판별법 활용 검정 실적

연도	쇠고기 (한우/비한우)		쇠고기 (통일성)		녹용 (원산지)	
	의뢰	비한우	의뢰	불일치	의뢰	수입산
2013	3,244	113(3.5%)	3,165	594(18.8%)	13	0
2014	2,866	116(4.0%)	3,062	472(15.4%)	3	0
2015	2,156	164(6.5%)	3,580	458(12.8%)	0	0
2016. 4	417	81(19.4%)	480	89(18.5%)	0	0

3.8 Is it safe to eat deer velvet or deer blood?

(TV news) There has been a CWD outbreak in Korea. Concerns in industry despite there being no cases in the past where CWD has caused harm to the humans.



MBN, 2016-03-29³

* **Reference:** CWD outbreak official record by Korea Animal and Plant Quarantine Agency

CWD	JeongNam Deer 정남사슴	Goji-ri, Jeongnam-myeon, Hwaseong-si, Gyeonggi-do 경기도 화성시 정남면 고지리	2016-03-18	1 deer
CWD	JangSoo Deer Farm 장수사슴목장	Omi-ri, Myeongseok-myeon, Jinju-si, Gyeongsangnam-do 경상남도 진주시 명석면 오미리	2016-02-24	1 deer
CWD	Taegi Son 손태기	Gwanji-ri, Myeongseok-myeon, Jinju-si, Gyeongsangnam-do 경상남도 진주시 명석면 관지리	2016-02-04	10 deer
Korea Animal Health Integrated System http://www.kahis.go.kr/home/lkntscrinfo/selectLkntsOccrnclList.do?openFlag=Y				

3.9 Calling CWD as 'Mad Deer Disease' by media is wrong

There has been criticism over the way media has reported the outbreak of CWD. Only one animal tested positive for CWD but was reported as if all 35 on the farm in question caught the disease.



The Farmers Newspaper, 22016-04-04⁴

³ http://www.mbn.co.kr/pages/news/newsView.php?category=mbn00003&news_seq_no=2833543

⁴ http://www.nongmin.com/article/ar_detail.htm?ar_id=262424

3.10 Health Korea (in US), 2 for 1 promotion

Health Korea selling Chunho Food products (velvet and ginseng product included) in the US. Nationwide delivery available and have a shop in LA.

US Korea Times, 2016-04-15⁵

3.11 Jeong-gwan-jang's 'Cheon-nok-sam' is popular in US

Cheon-nok-sam, KGC's velvet and ginseng product is popular in Korea (as you would expect) and also in the US too.

US Korea Daily, 2016-04-19⁶

3.12 Abai-sk farmers visit Korea

Russian deer velvet farmers visit Pyun-Kang Oriental Medicine Clinic and talks to oriental medicine researchers.

Pyun-Kang Oriental Medicine Clinic has developed a velvet product using velvet from one specific Russian farm. The farmers tasted the finished product and talked about MOU with Pyun-kang.



Health Digest, 2016-04-15⁷

3.13 Does CWD propose any risk to humans?

Cases of CWD have been reported in reindeer habitats in Norway.

There are two points of note to take from these reports. First, This is the first example of CWD in Europe. Second, this is the first time a reindeer has caught the disease. Up until now only Venison and Elk who have inhabited Asia and North America have been confirmed to have caught the disease. (A journal article by Biology Ph.D.)

Sports Kyung-hyang, 2016-04-26⁸

3.14 Hanbang Bio's 'Kyung-hee Velvet Ginseng Bogam' launch

Hanbang Bio have released a functional food health product that includes Russian velvet and red ginseng. It was released on April 1st.

⁵ <http://www.koreatimes.com/article/20160415/982193>

⁶ http://www.koreadaily.com/news/read.asp?art_id=4194018

⁷ <http://kunkang.co.kr/wp/archives/17312>

⁸ http://sports.khan.co.kr/news/sk_index.html?art_id=201604261552003&sec_id=563101



News Town, 2015-04-21⁹

3.15 Chunho Food have signed COO System contract with DINZ

Chunho Food have signed a contract with Deer Industry New Zealand to implement a country of origin system that verifies the origin of the velvet used in products.

Herald Economy, 2016-05-20¹⁰

⁹ <http://www.newstown.co.kr/news/articleView.html?idxno=247410>

¹⁰ <http://biz.heraldcorp.com/view.php?ud=20160520000145>